UNIT - V

Organizational Change and Development

1. Introduction

- Change is the **only constant** in modern organisations. Technology, competition, globalisation, customer expectations, laws and workforce diversity force firms to change continuously.
- **Organisational change** means moving from the present state to a desired future state.
- **Organisational Development (OD)** is the planned, long-term effort to improve the organisation's health and effectiveness through behavioural-science methods.
- Both change and development help organisations to **survive, adapt and grow** .

2. Meaning of Organisational Change

- Organisational change is any **alteration** in the structure, technology, people, strategy, tasks or culture of an organisation.

Definitions

Robbins: "Change is making things different."

Kurt Lewin: change is a modification of forces that keep a system's behaviour stable.

Stoner: "Organisational change is the process of modifying an organisation's structure, technology or people in response to internal or external forces."

3. Nature of Organisational Change

- **Inevitable and continuous** — happens all the time.
- **Planned or unplanned** (reactive).
- **Affects the whole system** — a change in one part affects other parts.
- **Involves people** — resistance, emotions, adaptation.
- **Pervasive** — at the individual, group and organisational level.
- **Goal-oriented** — to improve performance and survive.
- **Needs managerial support** — requires leadership, planning and communication.
- **Complex and risky** — success is not guaranteed.

4. Scope of Organisational Change

Area of change	Examples
Strategy / Mission	new markets, new products, mergers, diversification
Structure	restructuring, downsizing, flatter hierarchy, new departments

Area of change	Examples
Technology	automation, ERP, AI, digitalisation, new machinery
People	training, attitude change, new skills, recruitment, team building
Tasks and processes	re-engineering, job redesign, quality systems
Culture and values	ethical culture, customer focus, innovation
Physical setting	new layout, offices, remote work set-up

5. Forces for Change

External forces

competition, technology, government laws, economic conditions, globalisation, social trends, customer needs, political changes

Internal forces

new strategy, new leaders, employee dissatisfaction, workforce diversity, conflicts, poor performance, new equipment, mergers

- **Examples:** GST and digital payments, COVID-19 shifted work to online and hybrid mode, AI and automation changing job roles.

Types of change

- **Planned change** — deliberate, proactive, managed effort.
- **Unplanned (reactive) change** — forced by sudden events.
- **Incremental (first-order)** — small, continuous improvements (Kaizen).
- **Transformational (second-order)** — radical, deep changes (re-engineering, merger).
- **Anticipatory vs reactive change.**

6. Functions / Objectives of Change and Development

- Improve **organisational effectiveness** and adaptability.
- Increase **productivity, quality, profitability** .
- Develop **skills and attitudes** of employees.
- Improve **communication, collaboration, trust** .
- Resolve **conflicts** ; build **teams** .
- Introduce **new technology** and processes smoothly.
- Develop **leadership** and succession.
- Improve **quality of work life** and job satisfaction.
- Build a **learning organisation** , encourage innovation.

7. Organisational Development (OD) — Meaning, Nature and Scope

Definitions

Warren Bennis: "OD is a response to change, a complex educational strategy intended to change the beliefs, attitudes, values and structure of organisations so that they can better adapt to new technologies, markets and challenges."

Richard Beckhard: "OD is an effort planned, organisation-wide and managed from the top, to increase organisational effectiveness and health through planned interventions in the organisation's processes using behavioural-science knowledge."

Characteristics of OD

- Planned and systematic; organisation-wide; top-management supported.
- Uses **behavioural science** knowledge; relies on a **change agent / consultant** .
- Long-term; focuses on **processes** and people.
- Based on **humanistic values** — trust, openness, participation and collaboration.
- Action-research based; improves both **effectiveness and human satisfaction** .

Scope of OD

- Team development, leadership development, conflict handling, culture change, restructuring, career planning, quality of work life, communication and change implementation.

8. Organisational Culture (recap for Unit V)

- Culture = shared values, beliefs and norms that guide behaviour (see Unit III).
- It is made of **artifacts, espoused values and basic assumptions** (Schein).
- Strong cultures resist change; weak cultures change easily but lack direction.
- **Functions:** identity, commitment, stability, control, guide for behaviour.
- When strategy changes, culture must change to support it — "culture eats strategy for breakfast".

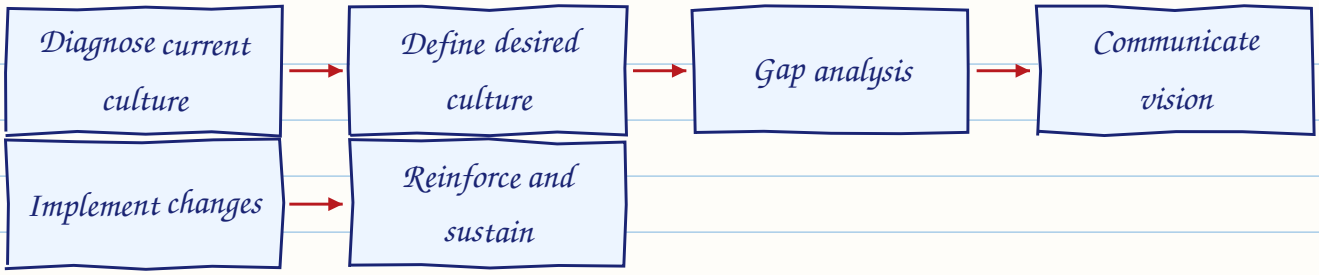
Need for changing culture

- Mergers and acquisitions (culture clash); poor performance; a dying market; new technology; new leadership; globalisation; ethical failures; crisis; fast growth.

9. Changing the Culture

Changing culture is **difficult, slow and takes years** because it is deeply rooted in assumptions.

Steps / methods for changing organisational culture



1. **Diagnose existing culture** through surveys, interviews, observation.
2. **Define the new values** and vision linked to strategy.
3. **Top management commitment** — leaders must "walk the talk" and be role models.
4. **Change the people** — recruit and promote people who fit the new culture; remove resisting ones.
5. **Restructure** systems — reward system, performance appraisal, structure, policies.
6. **Communicate through symbols, stories and rituals** which reinforce the new values.
7. **Training and development** in new behaviour and skills.
8. **Participation and involvement** of employees.
9. **Socialisation** of new employees; mentors.
10. **Reinforce** — celebrate success, reward the right behaviour.
11. **Monitor and evaluate** progress; modify.

Factors that help culture change

- Dramatic crisis, turnover in leadership, young and small organisation, weak culture.

Barriers

- Deep-rooted beliefs, fear of the unknown, vested interests, past success (complacency), poor communication, lack of top support.

10. Change Management — Meaning and Process

- **Change management** is the structured approach to transitioning individuals, teams and the organisation from a current state to a desired future state, minimising resistance and maximising the benefits.

Kurt Lewin's Three-Step Model



Stage	Meaning
Unfreezing	create awareness of the need for change; reduce restraining forces; show dissatisfaction with the status quo
Changing (Movement)	shift to the new state by new behaviours, structures, technology; training and participation

Stage	Meaning
Refreezing	stabilise the change; reinforce with rewards, policies, culture so that people do not go back

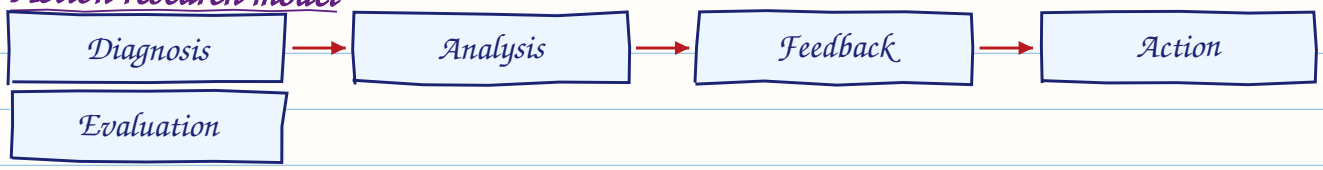
Force-field analysis (Lewin)

- Every situation is held in balance by **driving forces** (push towards change) and **restraining forces** (resist change). To change: increase driving forces, or (better) reduce restraining forces.

Kotter's 8-step model

1. Create a sense of **urgency** . 2. Build a guiding **coalition** . 3. Form a strategic **vision** . 4. **Communicate** the vision. 5. Empower **action** (remove obstacles). 6. Generate **short-term wins** . 7. Consolidate gains and produce more change. 8. **Anchor** the changes in the culture.

Action research model



- Systematic collection of data → analysis → feedback to the group → planned action → evaluation. It is the basis of OD.

ADKAR model (Prosci) for individuals

- **A** wareness → **D** esire → **K** nowledge → **A** bility → **R** einforcement.

11. Resistance to Change

Causes

Individual	Organisational
fear of the unknown, habit, economic insecurity, selective perception, loss of status, lack of skills	structural inertia, limited focus of change, group inertia, threat to power and resources, past agreements

- Also: poor communication; distrust of management; belief that change is not needed; timing and surprise; peer pressure.

Forms of resistance

- Overt (strikes, complaints), implicit (reduced effort, absenteeism, lateness), immediate or deferred.

Overcoming resistance (Kotter and Schlesinger)

Approach	When used
Education and communication	when information is lacking
Participation and involvement	when initiators lack information and others have power to resist
Facilitation and support	when fear and anxiety are the problem: counselling, training

Approach	When used
Negotiation and agreement	when some group will clearly lose out
Manipulation and co-optation	when other tactics fail or are too costly (risky)
Explicit and implicit coercion	when speed is essential and change initiators have power

→ Best strategy: participation, communication and support — build trust before the change.

Role of change agent

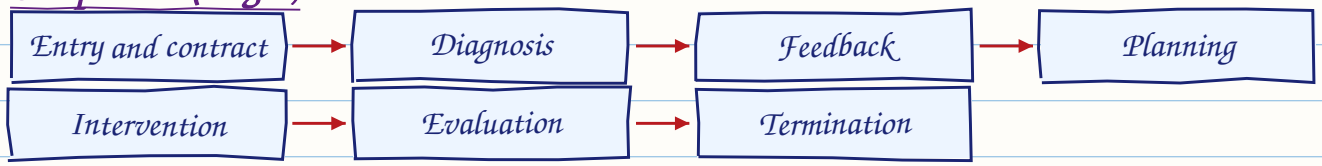
- A **change agent** is a person or group (internal manager or external consultant) responsible for managing the change. External agents bring objectivity but lack knowledge of the organisation.

12. Approaches to Managing Planned Change — OD Interventions

Level	Interventions
Individual	sensitivity training (T-group), counselling, coaching, career planning, skill training
Group / team	team building, process consultation, survey feedback, role analysis, quality circles
Inter-group	intergroup problem-solving, confrontation meetings
Organisation-wide	survey feedback, MBO, TQM, re-engineering, Grid OD, restructuring, culture change, learning organisation

- **Sensitivity training:** unstructured group sessions to increase self- and others' awareness.
- **Survey feedback:** questionnaire data are fed back to employees and used for action.
- **Process consultation:** consultant helps the client to see and solve process problems.
- **Appreciative inquiry:** focuses on the organisation's strengths and success stories.
- **Business Process Re-engineering (BPR):** radical redesign of processes for dramatic improvement.

OD process (stages)



- OD values: respect for people, trust, support, power equalisation, confrontation of problems, participation.

13. Work Stress Management

Meaning

- **Stress** is a dynamic condition in which an individual faces an opportunity, constraint or demand related to what he desires, and for which the outcome is perceived to be both uncertain and important (Robbins).

- It is the body's reaction to demands that exceed the person's coping capacity.
- **Eustress** (positive stress — motivating) vs **Distress** (negative stress — harmful).

Hans Selye's General Adaptation Syndrome (GAS)

Alarm reaction → Resistance → Exhaustion

Causes (Stressors) of work stress

Organisational
heavy workload, tight deadlines, role conflict and ambiguity, poor supervision, lack of participation, unsafe conditions, job insecurity, office politics

Individual
family problems, financial worries, health, personality (Type A), lack of coping skills

Environmental
economic uncertainty, political uncertainty, technological change, social unrest

Job-related
boredom, monotony, repetitive work, long hours, shift work, lack of control

Consequences of stress

Type	Symptoms
Physiological	headache, high blood pressure, heart disease, ulcers, fatigue, sleeplessness
Psychological	anxiety, depression, irritability, low concentration, job dissatisfaction
Behavioural	absenteeism, turnover, reduced productivity, accidents, substance abuse, aggression

- **Burnout:** state of emotional, mental and physical exhaustion from prolonged stress; reduced sense of accomplishment.
- Cost to organisation: lower performance, health costs, absenteeism, conflicts.

Individual differences in stress

- Perception, job experience, social support, personality (Type A people suffer more), locus of control, hardiness.

14. Strategies for Managing Stress

Individual strategies

- Time management; physical exercise and yoga; meditation and relaxation; healthy diet and sleep; hobbies; social support network; positive thinking; counselling; setting realistic goals; learning to say "no"; work–life balance.

Organisational strategies

- Better selection and placement; realistic goal setting (MBO).
- **Job redesign** — more autonomy, variety, feedback.
- Clarify roles; reduce role conflict and overload.
- Employee participation and communication; supportive supervision.
- **Employee Assistance Programmes (EAP)**, wellness programmes, counselling and health check-ups.
- Flexible working hours, work from home, leave policies, recreation facilities.
- Fair reward and recognition; career planning; safe working environment; training in stress management.

Level	Method
Primary prevention	remove or reduce the stressor (redesign job, reduce workload)
Secondary management	train people to cope (relaxation, time management)
Tertiary / treatment	heal damage — counselling, therapy, medical care

→ Stress is not always bad — managers should aim for an **optimal level** of stress (eustress) which motivates people.

15. Organisational Management for Change and Development

- Managing an organisation through change requires the **integration of structure, people, technology and culture**.
- **Learning organisation (Peter Senge)** — an organisation that continuously learns and adapts. Five disciplines: **personal mastery, mental models, shared vision, team learning, systems thinking**.
- **Knowledge management**, innovation and creativity encouraged.
- **Organisational effectiveness:** goal attainment, resource acquisition, internal process, satisfaction of stakeholders.

Leadership role in change

- Provide vision, create urgency, communicate, build coalition, remove barriers, reward progress, model the new behaviour.

Organisational health indicators

- Clear goals, trust, openness, commitment, low turnover, cooperation, adaptability, rapid problem-solving.

16. Managerial Implications of Organisational Change and Development

- **Plan the change** — define goals, resources, time, people, risks.
- **Involve employees** — participation reduces resistance and builds ownership.
- **Communicate openly** — explain why, what, how and what's in it for them.
- **Develop skills** — training for new technology and roles.
- **Provide support** — counselling, job security reassurance, rewards.
- **Build a supportive culture** — trust, openness to experiment, learning from mistakes.
- **Use the right change agent** and top-level sponsorship.
- **Manage resistance** actively; deal with it sympathetically.
- **Timing and pace** — right moment; go step by step where possible; quick wins.
- **Monitor and evaluate** — measure outcomes; give feedback; modify.
- **Reinforce** — refreeze through rewards and policies.
- **Manage stress** of employees during change; maintain work–life balance.
- **Ethical concerns** — fair treatment in layoffs and restructuring; protect rights.

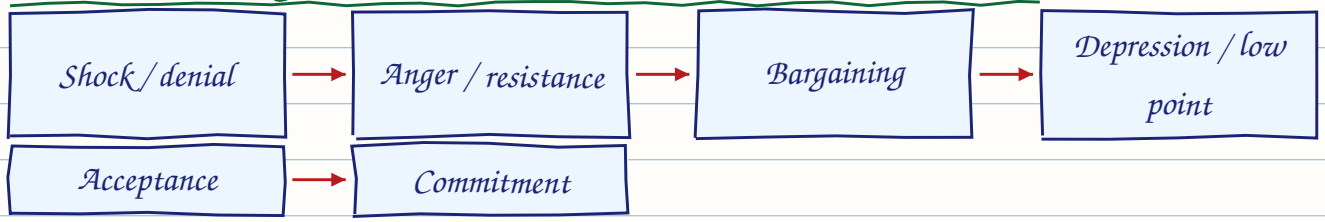
Benefits of successful OD

Higher productivity | Better morale | More adaptability | Improved teamwork and communication | Reduced conflict | Leadership development | Stronger culture | Competitive advantage.

Limitations / problems of OD

- Time-consuming and costly; depends on top management support; results are hard to measure; employee resistance; wrong consultants; temporary effect if not reinforced; may be seen as manipulation.

16A. The Change Curve — How People React to Change



- People move through emotional stages (adapted from Kübler-Ross); productivity dips at the low point and rises after acceptance.
- Managers must give **time, information and support** at every stage.

Example of force-field analysis (introducing a new computer system)

Driving forces (+)	Restraining forces (–)
faster work, lower errors, competition, top-management push	fear of job loss, lack of skill, cost, habit

Driving forces (+)	Restraining forces (–)
customer demand for online service	fear of the unknown, mistrust of management
incentive for learning	group resistance, lack of time for training

- Strategy: increase training and incentives (add driving force) and reduce fear through communication (reduce restraining force).

16B. Greiner's Growth Model — Change over the Organisational Life Cycle

Phase	Growth through	Crisis that follows
Phase 1	Creativity	crisis of leadership
Phase 2	Direction	crisis of autonomy
Phase 3	Delegation	crisis of control
Phase 4	Co-ordination	crisis of red tape
Phase 5	Collaboration	crisis of growth / renewal

- Each phase of growth ends in a crisis that forces a change in management practice.

16C. Contemporary Approaches to Change

Total Quality Management (TQM)

- Continuous improvement of quality by involving all employees; customer focus; process improvement; use of facts; teamwork (Deming's PDCA cycle: **Plan – Do – Check – Act**).

Business Process Re-engineering (BPR)

- "Fundamental rethinking and radical redesign of business processes to achieve dramatic improvements" — Hammer and Champy.

Kaizen

- Japanese approach of small, continuous, everyone-involved improvements.

Downsizing, outsourcing, mergers

- Cost-cutting measures that create anxiety, "survivor syndrome", and require careful communication and fair treatment.

Digital transformation

- Use of AI, automation, cloud, analytics and remote work → needs reskilling, new leadership and flexible culture.

Learning organisation (Senge) — five disciplines

Personal mastery	Mental models
continuous personal growth and learning	challenging deep-seated assumptions

Shared vision
common picture of the future

Team learning
dialogue and collective thinking

Systems thinking
seeing the whole and inter-relationships — the fifth discipline

16D. Creating a Culture for Change and Innovation

- Encourage **risk-taking**, tolerate failure, reward ideas, free communication; flexible structure; support for experimentation and creativity.
- **Intrapreneurship** — entrepreneurial spirit inside the organisation (e.g., 3M's 15% time rule, Google's 20% time).
- **Idea generation → screening → pilot → rollout → feedback**.

Characteristics of a change-ready organisation

- Visionary leadership, flat structure, high trust, learning orientation, a customer focus, employee empowerment, rapid communication, rewards for innovation.

16E. Stress — More Details

Type A and Type B personalities (Friedman and Rosenman)

Basis	Type A	Type B
Time	always short of time, impatient	relaxed, no urgency
Competition	very competitive, aggressive	non-competitive, easy-going
Risk	high risk of heart disease	lower health risk
Work	works fast, multi-tasks	steady, enjoys leisure

Stages of burnout

Enthusiasm → Stagnation → Frustration → Apathy → Burnout

Stress and performance — the inverted U

- **Too little stress** → boredom, low performance. **Moderate stress** → peak performance. **Too much stress** → breakdown and poor performance.

Coping mechanisms

- **Problem-focused coping** — tackle the source (plan, delegate, negotiate).
- **Emotion-focused coping** — manage feelings (talk, relax, meditate, humour).
- **Social support** — family, friends, colleagues and mentors.
- **Hardiness** — commitment, control and challenge attitudes.

Stress audit in organisations

- Surveys, absenteeism and turnover data, health records, exit interviews → identify high-stress jobs and take action.

Yoga, meditation and wellness

- Pranayama, mindfulness, workplace yoga sessions, gym and sports facilities, healthy canteen food, work–life balance policies are popular tools in Indian organisations.

16F. Evaluating the Success of Change

Measure	Indicators
Financial	profit, cost savings, return on investment
Operational	productivity, quality, cycle time, error rate
People	satisfaction, morale, turnover, absenteeism, grievances
Customer	satisfaction, retention, complaints
Process of change	adoption rate, participation, training completed
Cultural	values survey results, climate scores

- Use **before and after comparison** , follow-up surveys and feedback loops; adjust the plan.

17. Case Illustrations

Case 1 — Culture change

A traditional public-sector bank wants to become customer-centric and digital. Steps: new vision, training staff in digital tools, change in appraisal system to reward service quality, young leaders as role models, communication through town halls → gradual change in values.

Case 2 — Resistance

Employees resist a new ERP system for fear of job loss and learning difficulty. Management provides training, shows job benefits, involves staff in the pilot, gives support helpline → resistance reduces.

Case 3 — Stress

A call-centre employee faces long shifts and abusive customers → burnout. The company introduces counselling, flexible rosters, short breaks and recognition → stress and turnover reduced.

18. Quick Revision — Unit V

Key points

Change = internal + external forces | Lewin: Unfreeze → Change → Refreeze | Kotter's 8 steps | Resistance: individual and organisational; overcome by communication, participation, support | OD = planned, behavioural-science based, top-supported | Culture change takes time: diagnose, role models, reward system | Stress: stressors → GAS (alarm, resistance, exhaustion) | Manage with job redesign, EAP, time management.

Possible exam questions

1. Define organisational change. Explain nature, scope and forces for change.
2. Explain Lewin's model and Kotter's 8-step model of change management.
3. Why do employees resist change? How can resistance be overcome?
4. What is OD? Explain the OD process and interventions.
5. How can organisational culture be changed?
6. Explain the causes and consequences of work stress. Discuss stress management strategies.
7. Explain the managerial implications of organisational change and development.